

Shilpa Medicare Ltd

Concall Tracker — reading the last ~3 years of earnings calls for a durable earning trigger and management consistency

Screener ticker: SHILPAMED | 12 concall transcripts read (Q2 FY24 / Nov 2023 → Q4 FY26 / May 2026) | Report date: 5 July 2026

1. Snapshot

What the business does: Shilpa Medicare is an Indian pharmaceutical company that makes complex, hard-to-copy medicines. It works across four connected lines: **active pharmaceutical ingredients** (APIs — the raw drug chemical inside a pill), **finished formulations** (the actual tablets, injections and skin patches it sells or licenses to partners abroad), **biologics and biosimilars** (medicines grown from living cells, mostly for cancer and eye disease), and **contract development and manufacturing (CDMO)** — building and making molecules to order for other drug companies. It earns money three ways: selling APIs, selling/licensing formulations, and one-off licensing fees when a partner takes its product.

Important reading note — which numbers to trust. The financial spreadsheets Screener publishes for this company are the **standalone** parent-only accounts (they show FY26 sales of only ₹597 crore and a return on capital of ~5%). That is misleading: after Shilpa moved its main API business into a subsidiary (Shilpa Pharma Lifesciences) in 2021, the parent company is largely a holding shell. Management runs and reports the business on a **consolidated** (whole-group) basis. **All figures below are the consolidated numbers management gave on the calls** — these are the real business.

MARKET VALUE

₹11,910 cr

The price tag on the whole company on the stock market — about ₹11,900 crore.

REVENUE FY26 (CONSOLIDATED)

₹1,549 cr

Total group sales for the year to Mar 2026 — up 18% on the prior year. A record.

OPERATING PROFIT FY26

₹445 cr

Profit from core operations before interest/tax/depreciation — up 30%; margin 29% (29 paise on every rupee of sales).

ADJUSTED NET PROFIT FY26

₹232 cr

Final profit after all costs (excluding one-offs) — more than double the ~₹97 cr of FY25.

NET DEBT (MAR 2026)

₹613 cr

Borrowings minus cash. That is ~1.4× one year's operating profit — comfortable, and down from a stretched 5.8× two years ago.

RETURN ON CAPITAL FY26

17.4%

Profit earned per ₹100 of capital employed — up sharply from ~4% in FY23. The turnaround in one number.

Valuation flag: at ₹11,910 crore for ₹232 crore of adjusted profit, the shares trade at roughly 51× earnings — a rich, growth-priced valuation that assumes the profit engine keeps accelerating.

2. Concall coverage

Twelve consecutive quarterly earnings calls were read in full, oldest to newest — spanning about three years. The latest call (Q4 FY26, held 22 May 2026) was available and is fully covered. No gaps.

Quarter	Call date	Read?	Quarter	Call date	Read?
Q2 FY24	Nov 2023	Yes	Q2 FY25	Nov 2024	Yes
Q3 FY24	Feb 2024	Yes	Q3 FY25	Feb 2025	Yes
Q4 FY24	May 2024	Yes	Q4 FY25	May 2025	Yes
Special (Unicycive CDMO)	Jul 2024	Yes	Q1 FY26	Aug 2025	Yes

Q1 FY25	Aug 2024	Yes	Q2 FY26	Nov 2025	Yes
—	—	—	Q3 FY26	Feb 2026	Yes
—	—	—	Q4 FY26 (latest)	May 2026	Yes

★ Latest concall highlights — Q4 & full-year FY26 (call held 22 May 2026)

- **Record year across the board.** Q4 revenue ₹439 crore (the three-month sales, up 30% on a year earlier); full-year revenue ₹1,549 crore (up 18%); full-year operating profit ₹445 crore (up 30%, at a 29% margin); adjusted net profit ₹232 crore — **more than doubled**. Return on capital reached 17.4%, versus about 4% three years ago.
- **New tone on targets:** still refuses formal guidance, but for the first time floated a **35% operating margin as a long-term ambition** (versus 29% today) and reiterated licensing income of ~₹150 crore a year (the recurring fees partners pay).
- **Biggest announcement:** the **first biosimilar out-licensing deal outside India** — Nivolumab (a major cancer antibody) partnered with SteinCares for Latin America — plus construction of a first-of-its-kind integrated antibody-drug-conjugate (ADC, a targeted cancer drug) manufacturing suite in India.
- **Honest walk-backs:** management **dialled down two previously-hyped catalysts** — it now expects "no meaningful contribution" in FY27 from the much-promoted Unicycive/OLC kidney-drug deal, and has effectively **shelved the Aflibercept eye-drug launch in Europe** as "too late and too costly" unless a partner funds it.
- **Tone:** confident but noticeably more grounded than a year earlier — the language shifted from "highest-ever, most optimistic" to "we have built the foundation, now we monetise the platforms." Openly acknowledged flat US formulation sales and the unresolved US FDA warning letter.

2c. Business mix & capacity

Segment mix (FY26): Roughly **half API, half formulations + biologics**. API ~₹985 crore, formulations ~₹618 crore (+30%), biologics ~₹150 crore (roughly doubled). *Plain read: the business now stands on two roughly equal legs instead of leaning on APIs alone.*

Domestic vs export split: **Not broken out as a clean percentage by management.** What is clear is that the business is heavily **export-led** — Europe formulations exceeded ₹200 crore (more than doubled), US formulations were ₹80 crore, and much of the API and licensing income is overseas. *Plain read: most sales are outside India, but the exact home-vs-abroad share was not disclosed.*

Capacity utilisation: Management **repeatedly declined to give a single utilisation number**, saying each plant has many blocks. It did say non-oncology API capacity "still has headroom," the formulation plants have "ample available capacity," and only the Tranexamic Acid line is nearing full use (a fresh 100-tonne block is being added). *Plain read: there is room to grow output before big new spending is needed — utilisation is a lever still to be pulled, which management frames as "early stage of monetising the platforms."*

3. ★ The earning trigger thesis

The headline driver management points to is an **integrated "one-stop" complex-pharma platform finally being monetised**. The story: for years Shilpa spent heavily building hard-to-copy assets — complex APIs, specialty formulations (a first-in-class new drug called Nor-UDCA, the Europe-only generic Nilotinib, skin-patch and special-release products), biologics, and a build-to-order CDMO business — while profits and the share of capital returns stayed low. FY25 and FY26 are the years that spending started turning into cash: revenue up 18%, operating profit up 30%, net profit more than doubled, return on capital lifting from ~4% to 17%, and debt cut from a scary 5.8x profit to a safe 1.4x. Crucially the growth is now broad-based — the core formulation business (stripping out lumpy one-off fees) grew 60–80%. This is a real, live, already-working trigger, not a promise.

Trigger	What management said	Evidence so far	Horizon	Strength
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Specialty formulations scaling (Nor-UDCA new drug, Nilotinib in Europe, US special-release products)	Differentiated, limited-competition launches would drive high-margin growth	Base formulation sales up 64–75%; Nor-UDCA launched (first drug Shilpa developed end-to-end); Europe sales >₹200 cr, doubled	Now → 2–3 yrs	Strong
Complex + captive APIs (import-substitutes, peptides/GLP-1s, oncology)	Higher-value molecules would lift the API mix and margins	API up 16% to ₹985 cr; margins strong; but base (non-captive) API stayed soft for many quarters	Now → FY27	Moderate
Licensing income (fees partners pay to take products)	A "sustainable, recurring" ~₹150 cr/year engine	Delivered ~₹150 cr repeatedly — but it is lumpy and analysts estimate it is ~50% of profit, a concentration risk	Ongoing	Moderate
Biologics & biosimilars (cancer/eye antibodies, ADCs)	A multi-billion-dollar pipeline that would become a third leg	Turned profit-positive; first out-licensing deal signed (Nivolumab, Latin America) — but real overseas revenue guided only to FY29	FY27 → FY29	Unproven
CDMO / partner NCE programs (build-to-order for big pharma)	Named deals (Unicycive/OLC) with milestone dollars would add high-margin revenue	First NCE commercialised by a partner; but the flagship Unicycive/OLC deal was downgraded to "no meaningful FY27 contribution"	FY27+	Moderate
Deleveraging (paying down debt)	Group to become far less indebted; ₹500 cr equity raise in 2024	Clearly delivered — net debt/profit from 5.8× to 1.4×; maiden dividend paid	Done	Strong

4. Management consistency scorecard

Reading promises across all twelve calls against what actually happened:

Period	What was promised	What actually happened	Verdict
FY24 calls	Cut debt and become "debt-free in 2–3 years"; raise equity	Raised ₹500 cr; net debt/profit fell from 5.8× to 1.4× (not zero, but hugely improved)	Delivered
FY24 → FY26	Lift operating margins and keep growing profit	Margin rose from ~19% to 29%; operating profit doubled then grew another 30%; net profit more than doubled	Delivered
FY24 → FY26	Launch Nor-UDCA, the in-house new drug; grow Europe formulations	Nor-UDCA approved and launched (first-in-world); Europe sales doubled past ₹200 cr	Delivered
FY24 → FY25	US launches: Pemetrexed and Bortezomib injections	Both launched via partners; contributing sales	Delivered
Jul 2024 special call	Unicycive/OLC kidney drug: milestone dollars, "big values next year," dedicated block	Block built, but approval slipped and by May 2026 management said "no meaningful FY27 contribution"	Partly
FY24 → FY26	API business to recover and grow (recovery promised "next quarter" repeatedly)	Base (non-captive) API stayed roughly flat for over a year; only late did management commit to "mid-teens possible" growth	Partly

FY24 → FY26	Recombinant albumin (Orion Europe deal) to reach clinic then market	Timelines slipped almost every call — study start pushed out; commercial launch now FY28 (India) / FY29 (Europe)	Too-early
FY25 → FY26	Aflibercept eye-drug biosimilar for Europe	Effectively dropped — "too late, too costly" unless a partner funds it	Dropped
FY24 → FY26	Resolve the US FDA warning letter at the Jadcherla formulation plant	Still unresolved across every call; corrective actions submitted, awaiting FDA response; plant still under import alert	Missed

Narrative drift: The **core story has been remarkably steady** — the same integrated-platform, complex-products, partner-led-monetisation, cut-the-debt message every call, and the headline financial promises (debt down, margins up, profit up, Nor-UDCA launched) were **convincingly delivered**. The tone matured sensibly, from exuberant "highest-ever" language in early FY26 to a grounded "foundation built, now monetise" by the latest call. **But there is genuine drift on specific, promoted catalysts:** the Unicycive/OLC deal (which got its own dedicated hype call in July 2024) was quietly walked back; the Aflibercept Europe plan was dropped; albumin timelines slipped repeatedly; the biggest segment (API) under-delivered on recovery promises for over a year; and the US FDA warning letter has hung unresolved throughout. Management deserves credit for stating these resets candidly rather than hiding them — but a pattern of hyping then downgrading named catalysts is a real blemish on an otherwise strong delivery record.

5. Bottom line — two verdicts

Durable earning trigger? → YES

There is a clear, concrete driver and it is **already showing up in the numbers, not just the slides**. FY26 revenue grew 18% to ₹1,549 crore, operating profit grew 30%, net profit more than doubled, and return on capital jumped from ~4% to 17% — powered by a broad-based lift in specialty formulations (base sales up 60–80%), the successful launch of the in-house Nor-UDCA drug, doubling Europe sales, and a business now deleveraged. Even after discounting the speculative pipeline (biologics, albumin, ADCs — real revenue years away), the working core is a genuine, live earning trigger. The main caveats are that ~half the profit rides on lumpy licensing fees, and the valuation (~51× earnings) already prices in a lot.

Management consistent? → MAYBE (leaning positive)

This is a split verdict. On the **big, measurable promises — cut the debt, lift margins, grow profit, launch Nor-UDCA — management delivered emphatically and the platform story never drifted**. That is strong. But it is dragged to a MAYBE by a repeated pattern on **specific promoted catalysts**: the Unicycive/OLC deal was hyped in a dedicated call then downgraded to "no meaningful FY27 contribution"; Aflibercept Europe was dropped; albumin slipped almost every quarter; the largest segment (API) missed its own repeated recovery timelines for over a year; and the US FDA warning letter stayed unresolved throughout. Management is refreshingly candid about these resets, which is why the verdict leans positive rather than negative — but the tendency to over-promise on individual triggers means the guidance around any single new catalyst should be taken with caution.

Sources: 12 Shilpa Medicare earnings-call transcripts (Nov 2023–May 2026) via Screener.in; consolidated figures as stated by management on the calls. Screener's published spreadsheets are standalone (parent-only) and understate the group; consolidated figures used throughout and the gap flagged. This is an educational reading of management's own words and reported numbers — not investment advice.